

Questions for Gordian

Build a consistent implied monetary policy pricer for global EM rates (and ideally developed markets too), replacing reliance on Bloomberg MIPR. The intern is expected to: (1) work with cross-regional sponsors to agree the markets in scope (starting with Latam, CE3, Turkey, and extending to Asia and Africa); (2) for each market, identify the correct instruments to use (swaps, FRA, bonds, or a combination) and the right interpolation methods; (3) build a pricer that shows implied pricing per central bank meeting date (not just fixed horizons); (4) expose the underlying assumptions so users can change them; and (5) as an extension, allow users to enter specific central bank policy path scenarios and compute “fair value” against them. Users span research, sales, and trading, so the tool should be accessible to all three.

Bloomberg MIPR is simplistic, often produces strange results, uses fixed horizons rather than meeting dates, and gives users no ability to change underlying assumptions. A purpose-built pricer that uses the right instruments per market, prices to meeting dates, and exposes assumptions would replace this gap globally.

0. General Questions
 - a. Where to build this? BQuant?
 - b. Is this going to be stored and used in Bloomberg or an external system?
1. Markets in Scope
 - a. Who to talk to about markets in scope?
2. Correct instruments/interpolation methods
 - a. How to find out correct instruments used to get implied pricing? How to do this country by country?
 - b. What is meant by interpolation?
3. Pricer that shows implied pricing per central bank meeting date
 - a. How to get implied pricing from raw data/instruments? What is the math behind it?
 - b. Which meeting dates? All of them or yearly/semi-annually?
4. Expose assumptions so they can be changed
 - a. What are the underlying assumptions?
 - b. Will the assumptions be the same for each country or does each country require its own assumptions – how to manage allowing changing of assumptions if they are different per country?
5. Extension: policy path scenario and fair value
 - a. Can you give an example of this?